

SAMPLE NOTICE FOR SOFTWARE TESTING. NOT AN OFFICIAL DOCUMENT.

STATE OF CALIFORNIA
DEPARTMENT OF TAX AND FEE ADMINISTRATION

NOTICE OF SALES AND USE TAX RATE CHANGE

Reference: Publication 79-B | Effective: January 1, 2027

To: Registered Sellers and Software Vendors

This notice announces a change to the California state sales and use tax rate effective January 1, 2027.

RATE CHANGE SUMMARY

Previous statewide rate: 7.25% (0.0725)

New statewide rate: 7.50% (0.0750)

The new rate applies to all taxable retail sales occurring on or after January 1, 2027. The rate change affects the base state rate only. Local district taxes and special district rates are unchanged.

APPLICABILITY

This rate change applies to:

- All tangible personal property sold at retail
- Taxable services as defined in Revenue and Taxation Code 6006

This rate change does NOT apply to:

- Sales for resale
- Sales to government entities (Government Code 6381)
- Pre-negotiated contract rates established before January 1, 2027
(See Publication 79-C for contractor rate guidance)

SYSTEMS AND SOFTWARE REQUIREMENTS

All point-of-sale, invoicing, and billing systems that calculate California state sales tax must be updated to reflect the new rate of 7.50% (0.0750) no later than December 31, 2026.

IMPORTANT: Only the base state rate changes. Do not modify:

- County or city tax rates
- Special district rates
- Contract rates or pre-negotiated rates with individual customers

Vendors are reminded that rate lookups driven by table records (TAXTBL or equivalent) must be reviewed to ensure the table-driven override logic does not interfere with the new statutory rate.

CONTACT

Questions regarding this notice should be directed to:

Business Tax and Fee Division
(phone number omitted in sample)
cdtfa.ca.gov/industry/sales-tax

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